World or similar. It can be a broad country index, an international index, a sector index or any other kind of equity index, but the task is to follow the designated index and attempt to beat it. Most mutual-fund managers have very little leeway in their investment approach and they are not allowed to deviate much from their index. Methods to attempt to beat the index could involve slight over- or under-weights in stocks that the manager believes will perform better or worse than the index, or to hold a little more cash during perceived bad markets. The really big difference between a mutual-fund manager and a hedge-fund manager or absolute-return trader is that the mutual-fund manager's job is to follow the index, whether it goes up or down. That person's job is not to make money for the client but rather to attempt to make sure that the client gets the return of the index and, hopefully, slightly more. If the S&P 500 index declines by 30% in a year, and a mutual fund using that index as a benchmark loses only 25% of the clients' money, that is a big achievement and the fund manager has done a very good job.

There are of course fees to be paid, including a management fee and sometimes a performance fee for the fund as well as administration fees, custody fees, commissions and so on, which is the reason why very few mutual funds manage to beat their index or even match it. According to Standard & Poor's Indices Versus Active Funds Scorecard (SPIVA) 2011 report, the percentage of US domestic equity funds that outperformed the benchmark in 2011 was less than 16%. Worst that year were the large-cap growth funds where over 95% failed to beat their benchmark. Looking over a period of five years, from 2006 to 2011, 62% of all US domestic funds failed to beat their benchmarks. The worst in that five-year period was the mid-cap growth funds where less than 10% reached their targets. The picture that the S&P reports paint is devastating for the mutual-fund business. If active mutual funds have consistently proved to underperform their benchmarks year after year, there is little reason to think that this is about to change any time soon.

There are times when it's a good idea to participate in the general equity markets by buying and holding for extended periods of time, but then you need to have a strategy for when to get out of the markets when the big declines come along, because they will come along. It makes sense to have a portion of your money in equities one way or another as long as you step out of that market during the extremely volatile and troublesome years, but personally I'm not entirely convinced about the wisdom of putting the bulk of your hard-earned cash into this asset class and just holding onto it in